

Policy Guidelines for Agreements with Implementing Partners

“GRANTS – OUT”

Revision approved by the Board of Trustees at its Sixtieth Session (November 2019)

Summary of main revisions (Approved on 29 November 2019):

[Paragraphs 1-2](#): Clarity on partnership, implementing partners (IPs) and grants, and definition of the respective terms.

[Paragraph 6](#): Additional eligibility criteria provided for IPs.

[Paragraph 8](#): Provides various exclusion criteria which were not explicitly included in the guidelines.

[Paragraphs 9-16](#): Procedures for awarding grants to IPs, competitive selection procedure, changes to the publication of calls for proposals and evaluation of technical proposals, due diligence and publication of grantee awards.

[Paragraph 24](#): Clarifies that grants shall be administered in accordance with the present set of guidelines and applicable UNFRR and other UNITAR policies.

[Paragraph 26](#): Differentiates between the grant implementation period and the grant validity period.

[Paragraph 27 to 30](#): Clarifies disbursement schedule for payments to IPs and conditions, including currency.

[Paragraph 32](#): Clarifies that funds to IPs are also subject to the normal audit procedures of the United Nations.

[Paragraph 35](#): Provides that mandated independent evaluations of applicable projects shall include an assessment of the IP arrangements, if relevant, as part of the evaluative undertaking.

[Paragraph 38b](#): No cost amendments may be signed by the Programme Manager.

[Paragraph 36](#): Clarifies that amendments may not modify the amount of other conditions of the grant that may discriminate against other potentially interested partners.

[Paragraph 40](#): Formalizes the conditions of suspension that are already applied in all grant agreements to IPs.

Earlier revisions of these Guidelines were approved by the Board of Trustees at its Fifty-Ninth (November 2018) and Fifty-Seventh (November 2016) sessions.

Contents

I. Introduction.....	1
II. Eligibility and exclusion criteria	1
III. Procedures for awarding grants to IPs.....	2
IV. Use of instruments and standard templates.....	3
V. Elements required in agreements	4
VI. Terms and conditions of the main agreement	5
VII. Agreements with businesses	5
VIII. Procedure for drafting, review, clearance and signature of IP agreements	6
IX. Administration and management of IP agreements and funds	6
X. Audit.....	7
XI. Monitoring, evaluation, reporting and closure	7
XII. Amendments	8
XIII. Suspension or termination of grants	8
XIV. Retention of records.....	8

I. Introduction

1. For the purpose of these Policy Guidelines and in accordance with the General Assembly resolution 60/215, partnerships are voluntary and collaborative relationships between various parties, both public and non-public, in which all participants agree to work together to achieve a common purpose or undertake a specific task and, as mutually agreed, and to share risks and responsibilities, resources and benefits.
2. Implementing partners (IPs) are entities to which UNITAR has transferred funds and entrusted the implementation of project outputs specified in a signed Grant-out Agreement, along with the assumption of full responsibility and accountability for the effective use of the resources transferred by UNITAR for the delivery of project outputs as set forth in the relevant Agreement. IPs may range from government agencies; United Nations entities and other international or intergovernmental organizations; non-governmental organizations (NGOs), academic institutions, foundations; and, exceptionally, businesses.
3. Implementing partners share a common purpose and/or are considered by UNITAR to be instrumental in achieving results and supporting strategic and programmatic objectives. IPs are instrumental to support the delivery of results in various UNITAR programme areas, particularly for the larger scale projects.
4. Grants to IPs are cash transfers to support the costed activities to achieve planned results. Grants may not be used for IP profit.
5. These guidelines provide guidance to Managers on selecting IPs, as well as preparing related financial agreements and overseeing modalities for monitoring, evaluating and reporting on work delivered by IPs. The purpose is to ensure that there is a consistent, UNITAR-wide approach to entering into and managing partnership arrangements which involve the disbursement of funds to an IP, and that UNITAR upholds principles of fairness, integrity, impartiality and transparency when engaging with IPs.

II. Eligibility and exclusion criteria

Eligibility

6. IPs are to be selected on the basis of the following eligibility criteria:
 - a. having legal capacity,
 - b. ability to operate legally at the location where work is to be performed, and
 - c. being considered as instrumental in helping UNITAR achieve the planned results of the agreement between UNITAR and a donor ("main agreement") or realizing other strategic or programmatic objectives of UNITAR.
7. The following entities may qualify as IPs:
 - a. Government ministries or agencies: The IP should be a recognized governmental ministry or agency working in a policy or development-related area of the main agreement.
 - b. UN entities and other international organizations: The IP should be or have been engaged in programming related to the subject matter of the main agreement and/or be recognized as an effective conduit for channeling resources (e.g. having local or country level presence).
 - c. NGOs, academic institutions, foundations, etc.: The IP should share the overall objectives of the main agreement, have demonstrated experience and expertise in the subject matter and be positioned to deliver results effectively and efficiently.

- d. **Businesses:** Businesses should, as a rule, be treated through procurement. Exceptions may be granted, however, depending on the circumstances e.g. if the business is the beneficiary of the funds to be disbursed or instrumental in delivering services to the end beneficiaries (e.g. UNITAR disbursing funds to a for-profit private university as part of a partnership to deliver training to a group of beneficiaries of that same university), or if the business is specified in the main agreement or a referenced project document, proposal or application for funding and to which the donor has agreed after the required due diligence assessment has been undertaken, with a low risk score. Exceptions shall be subject to prior review and approval by the Executive Director. In addition to following the standard requirements and procedures for all IPs, all Agreements with businesses shall include the clauses in Section VII.

Exclusion criteria

8. IPs must not be:
 - a. Listed on the United Nations Security Council Consolidated List <https://scsanctions.un.org/consolidated/>;
 - b. Reported as having committed, or under investigation for alleged, fraud or misconduct;
 - c. In default of obligations under past agreements or evaluated by UNITAR as having performed unsatisfactory;
 - d. Assessed with an overall high-risk rating in the due diligence exercise;
 - e. Engaged for the sole purpose of performing procurement services or when consultancy is determined to be the more appropriate form of contracting; or
 - f. Currently under contract with UNITAR implementing a project of the Programme Unit under the main agreement for which the same Programme Unit is requesting the proposed grant.

III. Procedures for awarding grants to IPs

9. Direct award and competitive selection are the two procedures through which grants may be awarded to IPs.

Direct Award Procedure

10. Direct grant awards (without a call for proposals) may be issued to IPs meeting the criteria under Section II in the following circumstances:
 - a. Grants are less than \$100,000;
 - b. IPs are government ministries or agencies/bodies with domain rights or monopoly of competence in the programme area;
 - c. IPs are UN entities or other international/intergovernmental organizations;
 - d. IPs are identified in the relevant project document (or other relevant documents) forming an integral part of the main donor agreement and the due diligence assessment has been performed, if applicable, with a low risk score, or with IPs identified by a donor following its own tender and selection process; and
 - e. IPs are the beneficiary of the grant.

Competitive Selection Procedure

11. Competitive selection of an IP is required for all grants not falling under the direct award procedure.
12. The steps for competitive selection are as follows:
 - a. The IP terms of reference (TOR)/project deliverables are finalized, based on the project objectives, proposed activities, planned results and budget of the main donor agreement;
 - b. Calls for proposals shall be published (e.g. UNITAR website) to attract interested IPs. The publication shall be for a minimum of three weeks (15 business days);

- c. The technical merits of proposals submitted from interested IPs shall be assessed by the relevant Programme Manager, one assessor appointed from the staff of other division, and one assessor from the Partnerships and Resource Mobilization Unit (PRMU). A short-list shall be established with preferably three proposals using the competitive selection of IP - offers form (Annex 3);
- d. The proposal fulfilling the technical requirements of the assignment and representing the best value for money shall be retained;
- e. A due diligence assessment shall be performed for the selected IP;
- f. All grant awards shall be published on the UNITAR website.

Exceptions

- 13. Any waiver to the competitive selection requirement shall be subject to prior review and approval by the Executive Director.

Due diligence

- 14. As a matter of principle, Programme Managers should exercise due diligence when engaging with any IP. While this process is within the responsibility of the Programme Manager, IP arrangements costed at or above \$100,000 shall be subject to a formal due diligence assessment (DDA) exercise using the template attached as Annex 5. The DDA shall be valid for 24 months.
- 15. For all businesses, regardless of the grant amount, a DDA exercise shall be performed prior to selecting the partner. For approval, the DDA shall have a low risk score and be subject to an independent review by PRMU.
- 16. For IP arrangements costed at or above \$200,000, the DDA shall be subject to an independent review by PRMU.

IV. Use of instruments and standard templates

- 17. Legal instruments for IP agreements should be used as follows:
 - a) **Letter of Agreements** (LOA) should be used when the IP is a non-United Nations entity meeting the selection criteria and award procedures, and qualified to contribute to the accomplishment of the objectives stipulated in the main donor agreement.
 - b) **UN Agency to UN Agency Contribution Agreements** format should be used for IP agreements between UNITAR and another UN entity.
- 18. Standard templates for LOAs and UN Agency to UN Agency Contribution Agreements are maintained on UNITARnet (<http://unitar.net/unitar.org/resources/partnerships>) and should be followed without prejudice to any form of instrument that a donor may require in the main agreement and in accordance with the present Policy Guidelines. Model agreements using the two different formats are also found in Annexes 1 and 2 of these guidelines. *When using model agreements, Managers should exercise caution to ensure that all required elements are included and customized to circumstances, and that any particularities and conditions from the main agreement are applied to the grant-out agreement mutatis mutandis.*

V. Elements required in agreements

19. All LOAs should include the following information:

- a. Donor agreement reference code (e.g. C2015.TARGC001.UNDP or AGB.2012.CCP.006) to be obtained from the Project Tracking Tool (ptt.unitar.org)/donor agreement
 - b. IP grant reference code (e.g. G2015.TARKS001.UNESCO) to be obtained from the PRMU
 - c. Statement of the overall objective(s)/purpose
 - d. Specification of the key activity or activities to be funded or a reference provided to an annexed project document specifying the activity or activities (see Annex I of Annex 1). The annexed short project document should be used if there is not a more elaborate document annexed to the IP agreement
 - e. Standard clauses for the following components for LOAs (see Annex 1 for language):
 - i. Finance and Administration (Article I)
 - ii. Procurement (Article II)
 - iii. Wrongdoing and Code of Conduct (Article III)
 - iv. Reporting (Article IV)
 - v. Audit (Article V)
 - vi. Communication and focal points (Article VI)
 - vii. Ownership of equipment (Article VII)
 - viii. Intellectual property rights (Article VIII)
 - ix. Limitations (Article IX)
 - x. Settlement of disputes (Article X)
 - xi. Limitations (use of UN and UNITAR's name and logo) (Article XI)
 - xii. Miscellaneous provisions (Article XII)
 - xiii. Renewal and Amendment (Article XIII)
 - xiv. Validity (Article XVI)
 - xv. Termination (Article XV)
 - xvi. Interpretation
 - f. Signature of the Director of the Division for Operations (on behalf of the Executive Director).
 - g. Clearance signature of the Manager
 - h. Signature of the IP authorized official
- Annexes
- i. Project document/TOR/specification of work (Annex I of Annex 1)
 - ii. Budget: (Annex II of Annex 1), preferably using standard UNITAR/UN cost categories
 - iii. Narrative report form: (Annex III of Annex 1)
 - iv. Standard list of participant's form (for all grants in which the IP is required to report beneficiaries): (Annex IV of Annex 1)
 - v. Financial report form: (Annex V of Annex 1)
 - vi. Grant closure report form (for all grants above \$30,000) (Annex VI of Annex 1)
 - vii. Vendor form: (Annex VII of Annex 1)

The language of the standard clauses may require customization or light editing (e.g. request of the project closure report, specific requirements in accordance with the main agreement). For IP agreement formats required by donors, UNITAR should ensure that language covering requirements in paragraph 19 above is included or that any related language is consistent with UNITAR requirements.

20. All **UN Agency to UN Agency Agreements** should follow the template under Annex 2, in addition to the provisions contained herein, the following information is required together with the relevant annexes:
- Donor agreement reference code (e.g. C2017.TARCC001.UNDP) to be obtained from the Project Tracking Tool (ptt.unitar.org)/donor agreement
 - IP grant reference code (e.g. G2017.TARKSI009.UNESCO) to be obtained from the Partnership and Resource Mobilization Unit
 - Annexes as required (e.g. project document; project closure report)

VI. Terms and conditions of the main agreement

21. All IP agreements are subject to the terms and conditions of the relevant main donor agreement, which may be a Special Purpose Grant (SPG) Agreement, LOA, UN Agency to UN Agency Contribution Agreement, a pledge/contribution letter or an agreement format provided by the donor. Programme Managers are required to ensure that any special conditions which are included in the relevant donor's main agreement are applied mutatis mutandis to the IP agreement.

VII. Agreements with businesses

22. The following clauses are compulsory for all agreements with businesses:
- **Finance and Administration**
[The IP] acknowledge that the budget under Annex [2] and the financial reports required under Article III shall reflect the costed activities of the Project with no-profit margin.
 - **Awareness of Global Compact Principles**
[The IP] acknowledges, embraces, supports and enacts, within its sphere of influence, the Principles of the Global Compact (attached as Annex 7).
 - **Use of name and emblem**
Nothing in this Agreement is intended to create or shall operate as a partnership or joint venture of any kind between the Parties. Apart from the exclusive purpose of the execution of the Activities under Annex I, neither Party shall use the name, emblem, logo, trademark or any other elements of corporate identity to which the other Party holds the intellectual property rights or any abbreviation thereof, without the express prior written consent of the other Party in each case. In no instance will UNITAR's name, emblem, logo, and trademark be granted for commercial purposes.

In no instance shall [the IP] be authorized to use the name of the United Nations or UNITAR, the United Nations emblem or the UNITAR's logo, trademark or any other elements of corporate identity to which the other Party holds the intellectual property rights or any abbreviation thereof, without the express prior written consent of the other Party in each case. In no event will the use of the UN or UNITAR's name, emblem, logo, and trademark be granted for commercial purposes, including the promotion, advertisement or marketing of [the IP] its products or services, or for use in any manner that is inconsistent with the status, reputation and neutrality of UNITAR or the United Nations.
 - **Settlement of disputes**
Any dispute, controversy or claim arising out of or in connection with this Agreement that is not settled amicably by negotiation shall be settled by arbitration in accordance with the United Nations Commission on International Trade Law Arbitration (UNCITRAL) Rules as at present in force. The place of arbitration shall be Geneva. Arbitration shall be in English. The Parties to this Agreement agree to be bound by any arbitration award rendered as the final adjudication of any dispute.

VIII. Procedure for drafting, review, clearance and signature of IP agreements

23. The procedures for drafting, review, clearance and signature of IP agreements shall be in accordance with the relevant administrative circular.

IX. Administration and management of IP agreements and funds

24. All grants to IPs shall be administered in accordance with the present set of guidelines and applicable United Nations Financial Regulations and Rules and other UNITAR policies.
25. Commitments and disbursements of funds will only be made with a valid IP agreement and related valid donor agreement on file, and adequate funds in the project account to cover the grant commitment.
26. Commitments and expenses will only be incurred within the *grant implementation period* which shall fall within the *project implementation period* of the main agreement. However, disbursements may be made until the end of the *validity of the IP agreement*. If the grant implementation period is not specified, this period shall be interpreted as the same as the validity period of the IP agreement for the purpose of incurring expenses, commitments and disbursements. It is recommended that Managers specify the end date of the validity of the IP agreement up to a maximum of two months following the end of the grant implementation period, provided that this validity period falls within the project implementation period of the main agreement.
27. IPs will be paid in accordance with the following schedule:

Duration of IP agreement	Amount of agreement	
	Less than or equal to \$30,000	Greater than \$30,000
Up to 3 months	100%	80%
From 3 to 12 months	100%	60%
Greater than 12 months	100%	50%

28. For IP agreements in which disbursements are to be made in two or more installments, the final installment shall not be less than 5 per cent of the total amount of the grant and shall be disbursed on receipt of the final narrative and/or financial report. In no instance will funds be disbursed to an IP with an outstanding narrative or financial report.
29. No subsequent payments to an IP will be made in the absence of a financial report for the period preceding the requested payment. Should the IP's financial report of the preceding period reflect a positive balance, this balance may be deducted from the following payment.
30. The currency used in the IP agreement shall be the same as the currency used for disbursement and reporting. With the exception of certain post conflict countries which may use the US dollar, the currency used shall be the local currency.

X. Audit

31. The IP shall be subject to its own audit procedures, provided that the procedures include annual audits conducted by an external auditing body or, in the case of government agency IPs, the relevant independent government audit department. Should the results of any audit conducted during or after the project contain observations or recommendations related to the grant, the IP shall submit a copy of the report to UNITAR.
32. The Contributions under Grant-out agreements shall also be subject to the normal audit procedures of the United Nations.

XI. Monitoring, evaluation, reporting and closure

Monitoring

33. Programme Managers are responsible for monitoring the implementation of IP agreements from substantive and financial angles, as well as monitoring work plans, quality of work, delivery schedules, compliance and validity of agreements and any other agreement conditions with the IP, and if necessary, proposing adjustments in the form of amendments. Any revision to an agreement shall be reflected in a written amendment in accordance with Section XII.

Evaluation

34. IPs implementing projects costed at or above \$30,000 shall be subject to a performance evaluation using the Evaluation Form for Implementing Partners (Annex 4). The evaluation shall be signed by the relevant Programme Manager.
35. Mandated independent evaluations of projects with IP arrangements shall include an assessment of the IP as part of the evaluative undertaking.

Reporting

36. In addition to any reporting requirement under the main agreement, Programme Managers are responsible for ensuring that IPs submit financial and narrative reports as follows:
 - a. **Interim financial reports** (form under annex V of Annex 1) are required for projects over two calendar years or more, the interim financial reports shall be submitted by 15 December of each calendar year the IP agreement is in force;
 - b. **Final financial reports** (form under Annex V of Annex 1) are required for all IP agreements costed at and above \$30,000;
 - c. **Final narrative reports** (form under Annex III of Annex 1) are required for all IP agreements; and
 - d. **Grant closure report** (form under Annex VI of Annex 1) is required for all IP agreements costed at and above \$30,000.
37. For projects subject to a mandated independent evaluation, final financial and narrative reports should be submitted by the IP within two months of the end of the IP's grant implementation period.

XII. Amendments

38. An amendment is a change made to the initial agreement. Amendments can add, remove or revise parts of the Agreement. Amendments may have cost and no cost implications.

38.1 No-cost implications:

- a. Amendments regarding agreement validity, project deliverables, work plan and delivery schedules are considered as no-cost amendments and require mandatory review by PRMU.
- b. Non-cost extensions shall be recorded using the form attached as Annex 8 and will be signed by the Programme Manager with full consideration given to the original grant out agreement and the donor agreement.

38.2 Cost implications:

- a. Amendments regarding the budget or any provision with a financial impact shall undergo a review process by FBU and PRMU in accordance with Section VIII above and be signed by the Director of the Division for Operations.
39. Amendments may not modify the amount or other conditions of the grant that could discriminate against other potentially interested IPs.

XIII. Suspension or termination of grants

40. The conditions for the suspension or termination of grants are laid out in the IP agreement and include, but are not limited to, lack of funding or non fulfilment of obligations by either Party, as well as non-compliance with the Code of Conduct, alleged fraud, corruption or other wrongdoing by the IP. In the event alleged fraud, corruption or other wrong doing is determined to be real, UNITAR reserves the right to demand the immediate repayment of all or part of the grant, b) terminate the agreement and c) take other punitive measures, including referring the fraud, corruption or other wrongdoing case to national authorities, assigning step-in rights to donors, demanding reimbursement from the IP for other damages and listing the IP on the UN/UNITAR database of fraud cases.

XIV. Retention of records

41. All IP-related documents, including the agreements, amendments, project documents, due diligence assessments, evaluations, and financial and narrative reports shall be sent to agreements@unitar.org and recorded with other relevant documents in the project tracking tool (ptt.unitar.org).
42. Management shall maintain project-related records, including financial and narrative reports and related supporting documents, for a period of seven years, after which Management may decide to continue retention or dispose of records as deemed appropriate.

Summary of requirements

Requirement for grant-out agreements	Below \$30,000	Equal to or above \$30,000	Equal to or above \$100,000	Equal to or above \$200,000	IP Private entity
Approval of the Executive Director			✓ **		
Direct award procedure	✓ *	✓ *			
Competitive selection procedure*			✓ *	✓ *	
Due diligence assessment (DDA)			✓	✓	✓
PRMU Review of DDA				✓	✓
Audit clause	✓	✓	✓	✓	✓
Evaluation		✓	✓	✓	
Grant closure report		✓	✓		
Final narrative report	✓	✓	✓	✓	
Final financial report		✓	✓	✓	✓
PRMU and FBU review	✓	✓	✓	✓	✓

*Conditions or exceptions apply. See Section II.

** If shall undertake a Competitive Selection process and an exception is required.